



RETAIL CUSTOMER RETENTION ANALYTICS DASHBOARD REPORT

Strategic Insights from Power BI Dashboard
Customer Churn • Loyalty Effectiveness • CLV • Store Performance

Dataset Focus	IKEA Retail Customer Transactions, Demographics, Loyalty & Store Data
Analysis Scope	Churn drivers, Loyalty Program ROI, Regional & Format performance, Customer Lifetime Value
Report Date	26 July 2026
Dashboard Source	Retail_Customer_Retention_Analytics-IKEA.pbix

Prepared as a comprehensive summary of the interactive Power BI dashboard covering Overview KPIs, Loyalty & Promotion Impact, Store & Region Insights, Customer Segmentation, and Strategic Recommendations.

1. Executive Summary

This report synthesizes findings from the **IKEA Retail Customer Retention Analytics** Power BI dashboard. The analysis integrates customer demographics, transaction history, loyalty program activity, store locations, and derived churn labels to surface actionable drivers of retention and revenue protection.

Headline Metrics (from Dashboard KPIs)

~52%	~\$292	~48%	~51%
Overall Churn Rate	Average CLV	Repeat / Retention Rate	Txns with Promotion

Critical Insights:

- **Platinum tier paradox:** Highest loyalty tier shows the highest churn (~56%). Elite status is not translating into loyalty.
- **Promotion inefficiency:** ~51% of transactions carry a promotion, yet average spend uplift is only ~1%.
- **Geographic risk concentration:** Manchester (~54%) and London (~53%) significantly underperform Birmingham (~48%).
- **High-CLV protection opportunity:** Top-quartile CLV customers (>~\$384) are less inactive (~170 vs ~190 days) and represent the highest-ROI retention targets.
- **Store format matters:** Superstores drive higher average spend and should be prioritized for high-value customer experiences.

2. Dashboard Overview — Key Performance Indicators

The **Overview KPIs** page and the consolidated **Final Dashboard** surface six primary measures together with product-category spend and interactive slicers (Region, Income Group, Loyalty Tier, Store Type).

Primary Measures Tracked

Measure	Description / Insight
Churn Rate (%)	Percentage of customers labelled as churned based on inactivity thresholds. Overall ~52%. Highest in Platinum and selected regions.
Customer Lifetime Value (CLV)	Average CLV ≈ \$292. Top 25% exceed ~\$384. Strong predictor of lower inactivity and higher retention potential.
Repeat Rate / Retention Rate	Complement of churn; indicates the share of customers with repeat purchase behaviour (~48%).
Total Customers / Total Sales	Scale metrics for context; Total Spend broken down by Product Category on bar charts.
Avg Purchase Frequency & Amount	Used in store-type and promotion analyses to quantify behavioural differences.
% Transactions with Promotion	~51% of transactions. Paired with Average Purchase Amount to evaluate promo ROI (currently very low uplift).
Avg Points Earned / Redeemed	Loyalty engagement health. Silver tier earns heavily but redeems a lower share of points.
Avg Retention Score	Composite score related to store opening year and other factors; used in scatter analysis of store maturity vs retention.

Interactive filters on Region, Income Group, Loyalty Tier and Store Type allow rapid what-if exploration across all pages of the dashboard.

3. Loyalty Program & Promotion Impact

The **Loyalty & Promotion Impact** page reveals a clear gap between program design and actual retention outcomes.

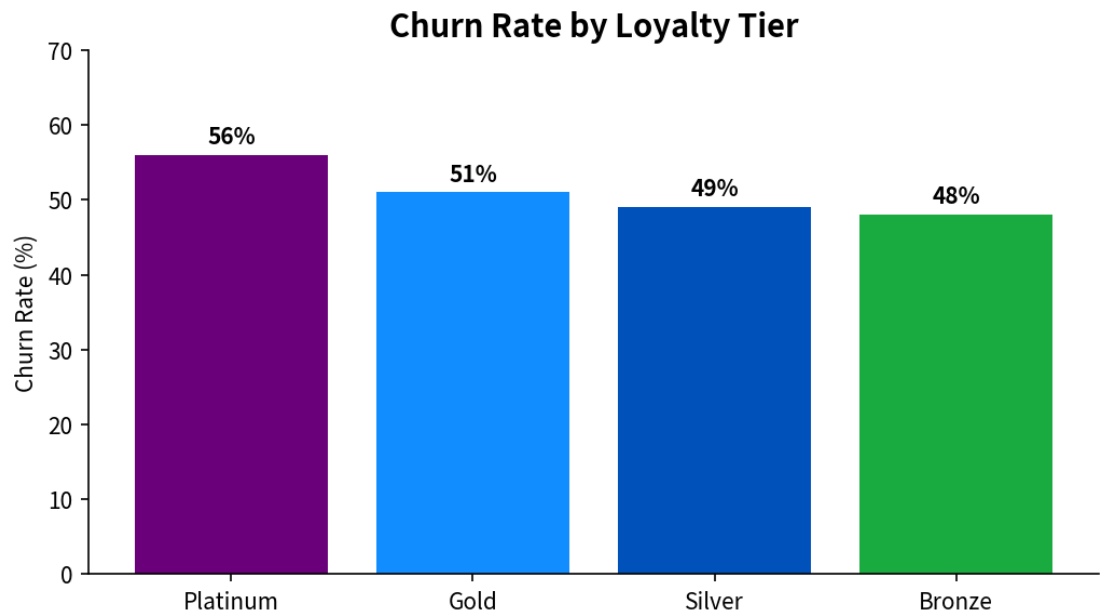


Figure: Approximate Churn Rate by Loyalty Tier (sourced from dashboard insights)

Key Findings

- **Platinum churn paradox (~56%):** Customers in the highest tier churn more than lower tiers. This suggests that status alone is insufficient; exclusive, experiential benefits are needed.
- **Silver redemption gap:** Silver members generate the most points but redeem a lower proportion (~70% of earned points referenced in analysis). Friction in redemption or weak reward relevance is likely.
- **Promotion effectiveness is weak:** Despite heavy usage (~51% of transactions), average purchase amount uplift is only ~1%. Blanket promotions are diluting margin without securing loyalty.
- Points earned vs redeemed charts by tier highlight engagement differences that should drive differentiated program rules.

Implication

The loyalty program currently fails to protect its most “elite” members and fails to convert earned points into repeated behaviour at scale. A redesign focused on differentiated benefits and simplified redemption is required.

4. Store Format & Regional Insights

The **Store and Region Insights** page combines store-type frequency analysis, regional churn bars, and a scatter of store opening year versus average retention score.

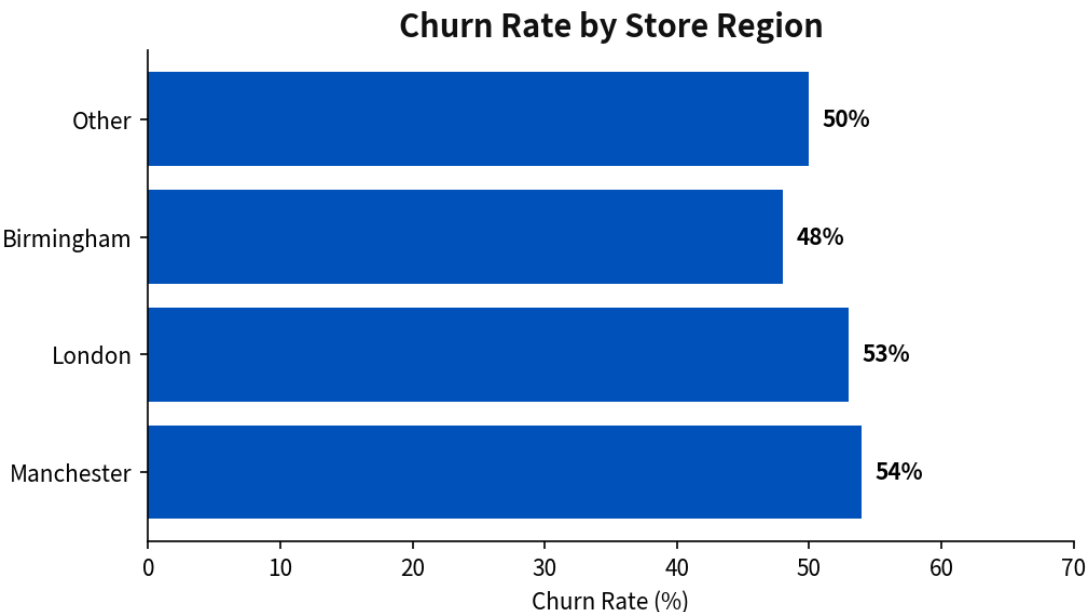


Figure: Churn Rate by Primary Store Region (dashboard-derived approximations)

Key Findings

- **Manchester (~54%) and London (~53%)** are the highest-churn regions; Birmingham (~48%) performs relatively better.
- **Superstores** show higher average purchase frequency and spend compared with Express formats, making them priority locations for high-CLV experiences and events.
- Scatter of Opening Year vs Avg Retention Score suggests store maturity and possibly local market factors influence retention performance.
- Regional and store-type slicers allow the same measures to be filtered consistently across the rest of the dashboard.

Implication

Retention investment should be geographically prioritized (Manchester & London first) and format-aware (leverage Superstore strengths for higher-value customers).

5. Customer Segmentation & CLV Analysis

The **Customer Segmentation** page features a retention funnel, a CLV vs Days-Since-Last-Purchase scatter (with loyalty and region tooltips), and a pivot of Average CLV by Loyalty Tier × Region.

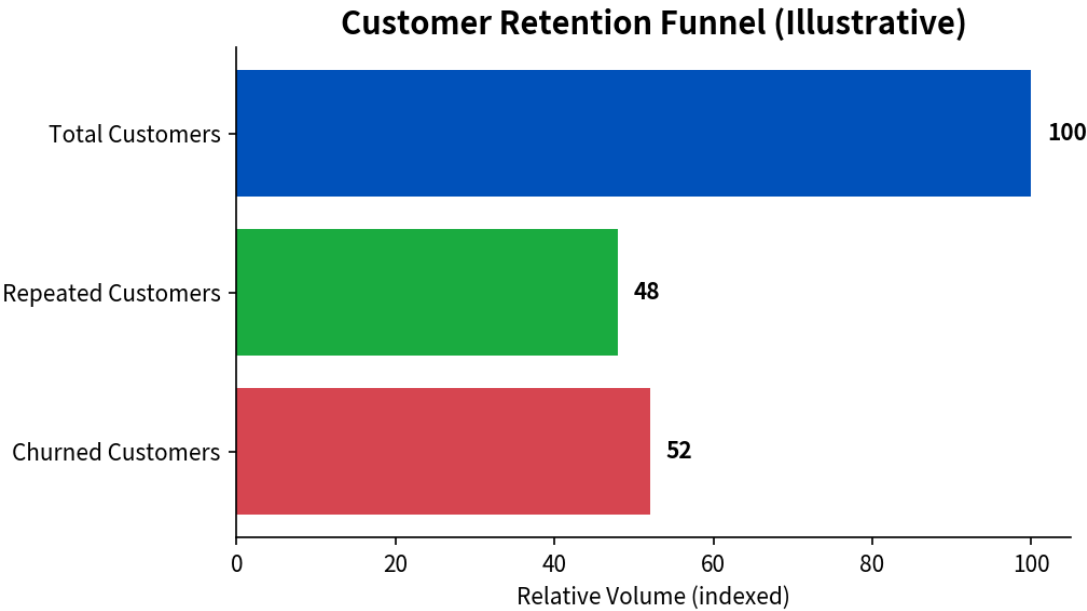


Figure: Illustrative Retention Funnel (Total → Repeated → Churned)

Key Findings

- Funnel quantifies the scale of the retention problem: a large share of the base is already in the churned state.
- High-CLV customers (top quartile > ~\$384) exhibit meaningfully lower inactivity (~170 days vs ~190 days for lower-CLV), confirming CLV as a strong prioritization signal.
- Pivot table of Avg. CLV by Loyalty Tier and Region surfaces interaction effects — certain region–tier combinations are disproportionately valuable.
- Scatter plot enables visual identification of high-CLV / high-inactivity customers who should be the first targets of win-back campaigns.

Implication

Segmentation should move beyond demographics alone. Combining CLV, recency (days since last purchase), loyalty tier and region produces a practical prioritization matrix for retention spend.

6. Strategic Recommendations

The dashboard's Recommendations and "IKEA FUTURE ACTIONS" pages translate the above diagnostics into three prioritized workstreams.

1. Revamp the IKEA Family Loyalty Program (especially Platinum)

Platinum customers show the highest churn (~56%) despite elite status. Silver earns the most points but redeems least. Promotions touch ~51% of transactions yet deliver only ~1% spend uplift.

Immediate focus:

- Design exclusive, experiential benefits for Platinum (priority design consultations, early access to collections, dedicated in-store advisors).
- Lower friction and improve perceived value of redemption for Silver and Gold (easier thresholds, more relevant rewards).
- Reduce reliance on broad, low-uplift promotions; shift budget toward targeted, tier-aware offers.

2. Launch targeted retention campaigns in high-churn regions

Manchester (~54%) and London (~53%) significantly under-perform Birmingham (~48%). Superstores already deliver higher average spend.

Immediate focus:

- Region-specific reactivation offers (bonus points, local events, design workshops) concentrated on Manchester and London.
- Prioritize Superstore locations for higher-ROI experiential and high-CLV activities.
- Monitor regional churn movement monthly via the dashboard filters.

3. Protect and reactivate high-value (high-CLV) customers

Top 25% CLV customers (> ~\$384) are less inactive and carry disproportionate revenue. Losing them is the highest-cost churn event.

Immediate focus:

- Create a high-CLV watch list using the Days-Since-Last-Purchase × CLV scatter.
- Deploy exclusive perks to maintain engagement among healthy high-CLV members.
- Run personalized win-back campaigns (targeted discounts, personal outreach, design services) for high-CLV customers showing rising inactivity.

7. Recommended Action Roadmap

Priority	Action	Owner (suggested)	Horizon
P0	Define Platinum exclusive benefits package and pilot in 2–3 Superstores	Loyalty / CRM + Store Ops	0–60 days
P0	Build high-CLV at-risk list from dashboard scatter and launch first win-back wave	CRM / Marketing	0–45 days
P1	Region-specific reactivation campaigns for Manchester & London	Regional Marketing	30–90 days
P1	Simplify point redemption rules and communicate new benefits to Silver/Gold	Loyalty Program	60–120 days
P2	Reallocate promotion budget from blanket offers toward targeted, tier- and CLV-aware offers	Commercial + Analytics	90–180 days
Ongoing	Monthly review of churn, CLV and regional filters inside the Power BI dashboard	Analytics + Leadership	Continuous

Closing Note

The Power BI dashboard already provides the necessary interactive capability (slicers on Region, Income, Loyalty Tier and Store Type, plus the key visuals for KPIs, loyalty, stores, segmentation and recommendations). The next step is operational: convert the three priority actions into owned experiments with clear success metrics (reduction in Platinum churn, lift in high-CLV reactivation rate, and measurable improvement in Manchester/London retention).

This report was generated from the structure, measures and recommendation text embedded in the **Retail_Customer_Retention_Analytics-IKEA.pbix** Power BI file. All quantitative figures marked with “~” are those highlighted inside the dashboard's own Recommendations and Future Actions pages.

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